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IC 88 – MARKETING AND PUBLIC RELATIONS

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PRACTICE TEST NO. 4

Question1

Select the correct option from the following statements with respect to India Motor Third Party Declined Risk Insurance Pool.

1. This is in addition to the existing motor third party pool
2. This is applicable only for commercial vehicles
3. IRDAI has set up the India Motor Third Party Declined Risk Insurance Pool with effect from 1.4.2012

- (a) Only 1
- (b) 2 and 3
- (c) 1 and 3
- (d) 1,2 and 3
- (e) None of the above

Correct Answer

2 and 3

Answer Explanation

The IRDA has also set up the India Motor Third Party Declined Risk Insurance Pool (DR Pool) with effect from 1.4.2012.

All proposals for 'liability only' cover for commercial vehicles, which are declined by an insurer as per the parameters in its underwriting manual, will be ceded to the Pool.



Question2

Which of the following is the best description of the term 'Dehumanization'?

- (a) Forcefully vacate people from a specific area
- (b) Act politely with people associated with us on a regular basis
- (c) To remove or deny human qualities, characteristics or attributes
- (d) Process automation which results in minimization of human dependencies
- (e) None of the above

Correct Answer

To remove or deny human qualities, characteristics or attributes

Answer Explanation

Dehumanization is the denial of full humanness in others and the cruelty and suffering that accompanies it. A practical definition refers to it as the viewing and treatment of other persons as though they lack the mental capacities that are commonly attributed to human beings.

In this definition, every act or thought that regards a person as "less than" human is dehumanization.



Question3

Which of the following are the correct premium rates charged to farmers for commercial and horticulture crops?

- (a) 5% of value of crops/ Sum assured
- (b) 3% of value of crops/ Sum assured
- (c) 2% of value of crops/ Sum assured
- (d) 1.5% of value of crops/ Sum assured
- (e) 1% of value of crops/ Sum assured

Correct Answer 5% of value of crops/ Sum assured

Answer Explanation Farmers would have to pay uniform premium of 2% of total value of *kharif* crops, 1.5% of *rabi* crops and 5% of all commercial (cocoa, cotton, tea, tobacco) and horticultural crops. The balance premium will be paid by the state and central governments.

Question4

Analyse and select the incorrect statement from the following.

- (a) A need is an outcome of want
- (b) An attempt to buy is made when a want arises
- (c) Wants create demand, subject to the factor of affordability
- (d) Objectives of marketing activities is to create wants and also improve affordability
- (e) Needs may be met in different ways and each way generates a different want

Correct Answer A need is an outcome of want

Answer Explanation Needs may be met in different ways and each way generates a different want. An attempt to buy is made when a want arises, which, in turn, is an outcome from a need.

Wants create demands, subject to the factor of affordability. One of the objectives of marketing activities is to create wants and also improve affordability.



Question5

Which of the following risks can be covered under non-life insurance?

- (a) Accident risk
- (b) Sickness risk
- (c) Cancellation of planned events
- (d) Both sickness and accident risk
- (e) All of the above

Correct Answer All of the above

Answer Explanation Sickness and accidents to human beings are classified as non-life insurance in India but as life insurance in many other countries, although, in India, life insurance policies may cover the accident and sickness risks, as additional cover along with the main life insurance policies.

Non-life insurance also covers losses through individual behaviours like fraud, burglary, nonfulfillment of promises (in the case of repayment of mortgage loans), professional negligence by doctors, etc.



- Question6** Identify from the following, an example of intangibles associated with the tangible product.
- (a) Size of the product
 - (b) Patents of the product
 - (c) Shape of the product
 - (d) Weight of the product
 - (e) All of the above

Correct Answer Patents of the product

Answer Explanation Assets which have a physical existence and can be touched and felt are called Tangible Assets. The main difference is tangible can be touched and felt whereas intangible only exists on paper.

Goods are tangible. They have physical dimensions and attributes and can be seen, felt, smelt, touched or tasted. Services have none of these dimensions and attributes and are therefore, intangible.

Goodwill, patent, copyright, trademark, company's brand name, etc. are examples of intangible assets.



Question7

Carefully analyse the following statements with respect to insurance concept and select the correct option.

- (a) Smaller the group, it is easier to share the risk
- (b) Generally, different kinds of risk can be identified in the same group
- (c) The member in the group who are exposed to the same risk agree to share the loss of one individual and make good the loss
- (d) a and c
- (e) a, b and c

Correct Answer

The member in the group who are exposed to the same risk agree to share the loss of one individual and make good the loss

Answer Explanation

Conceptually, the mechanism of insurance is very simple. People who are exposed to the same risks are brought together. Different kinds of risks can be identified and separate groups made, including those who are exposed to such risks.

The members in the group agree that, if any one of them suffers a loss, the others will share the loss and make good to the person who lost. By this method, the risk is spread among the community and the likely big impact on one is reduced to smaller manageable impacts on all. The larger the number in the group, the easier the sharing.



Question8

Which service from the following is a demand from customer to the Insurance company for fulfilment of its promise?

- (a) Settlement of the claim for the insurance amount purchased
- (b) Courtesy of the employees at the time of policy servicing request
- (c) Speed of handling of policy enquiries after purchase of policy
- (d) Advice by professional Insurance agents at the time of purchase of policy
- (e) None of the above

Correct Answer Settlement of the claim for the insurance amount purchased

Answer Explanation The service of insurance is manifest only at the time a demand is made on the insurer to make good on the promise. That is the claim.



Question9

Analyse and choose correct option from the following statements, with respect to the perception that all marketing is unethical.

1. Marketing Communication always involves incorrect information about the product
2. Marketing persuades people to buy even if it is not essential
3. Marketing goods as better substitute of products already in use create suspicion in the minds of the people

- (a) 1, 2 and 3
- (b) Only 3
- (c) 1 and 2
- (d) 2 and 3
- (e) 1 and 3

Correct Answer 2 and 3

Answer Explanation There are opinions to the effect that all marketing is unethical. This stems from the premise that marketing persuades people to buy.

This may be by promoting goods as better substitutes of products already in use (toothpaste for *datuns*, shampoos for cereal powders), or by raising desires that were dormant or extinct till then (colour TV and smart phones, for example).



Question10

Identify from the following characteristic of shopping goods.

- (a) Shopping goods are generally bought from easily accessible outlets
- (b) Shopping goods are those which are bought frequently
- (c) Buying decisions for shopping goods are made without haste, after comparisons as to suitability, quality and price
- (d) All of the above
- (e) None of the above

Correct Answer

Buying decisions for shopping goods are made without haste, after comparisons as to suitability, quality and price

Answer Explanation

Shopping goods are those which are bought infrequently and the buying decisions are made without haste, after comparisons as to suitability, quality, price, etc.

Question11

What is the definition of the term 'Sum Assured' with regard to insurance?

- (a) The maximum amount of loss that the person would expect to incur in the event of the losses
- (b) Losses which are paid
- (c) Fund from which losses are paid
- (d) The share which is collected in advance
- (e) The share of loss borne by other members in the group

Correct Answer

The maximum amount of loss that the person would expect to incur in the event of the losses

Answer Explanation

The maximum amount of loss expected is called the Sum Assured.



Question12

Choose the correct option/s from the following, which can help the organization to monitor the needs and expectation of the customers.

- (a) Market Research
- (b) Offers from competition
- (c) Responses in social media
- (d) All of the above
- (e) Only options 'a' and 'c'

Correct Answer All of the above

Answer Explanation Customers' needs and expectations can be monitored through :

- ☐ market research and surveys
- ☐ observation of customer behaviours and responses
- ☐ data on offers from competition
- ☐ complaints
- ☐ personal contact with customers
- ☐ focus groups
- ☐ comment/feedback forms from users



Question13

Choose the correct option from the following with respect to a typical marketing activity referred to as 'distribution'.

1. Distribution means laying down the ways in which customers can reach and buy the products
2. Distribution involves segmentation, targeting and product development
3. Distribution is responsible for training the sales team on the product features and sales techniques

- (a) Only 1
- (b) Only 2
- (c) 1 and 2
- (d) 2 and 3
- (e) 1,2 and3

Correct Answer Only 1

Answer Explanation Distribution means laying down the ways in which customers can reach and buy the products, which includes the systems (persons and processes) that deliver the promises.

Question14

Identify the correct statement with respect to perceptual process of an individual.

- (a) Perception can be interfered from observable behaviour
- (b) Perceptual process is internal to oneself
- (c) Perception cannot be directly observed in an individual
- (d) All of the above
- (e) Only option (b) and (c) are correct

Correct Answer All of the above

Answer Explanation Perception is not an explicit process. The reception, selection and evaluation of the many sensory stimuli may occur below the threshold of consciousness or awareness. The perceptual process, being internal to oneself, cannot be directly observed, but may be inferred from observable behaviour.



Question15

Identify from the following, the best description with respect to the term 'copy' when referred in context of advertisement.

- (a) Context of the advertising material
- (b) Preparation of the text of the advertisement
- (c) Ownership of the advertising material
- (d) Duplicated material of the original advertising material
- (e) Combination of text, visuals and audio used in an advertisement

Correct Answer Preparation of the text of the advertisement

Answer Explanation The preparation of the text of the advertisement is technically called as the 'copy' and it is considered as a professional job.

Question16

Identify the correct option from the following with respect to Heterogeneity.

- (a) Implication of heterogeneity of service product extend its accessibility
- (b) Reason for heterogeneity is due to factor of separability of service product
- (c) Heterogeneity in service product is associated with of quality of service experienced by consumer
- (d) All of the above
- (e) Only options (a) and (c)

Correct Answer Heterogeneity in service product is associated with of quality of service experienced by consumer

Answer Explanation Because of the factor of Inseparability, it is not possible to produce a service in advance, according to specified standards. Both production and consumption being by human beings, the product of service as experienced, may not be of consistent quality.

What is rendered by the service provider may be the same. But the service is as received by the consumer and that can be different.



Question17

Identify the correct statement with respect to test of the customer satisfaction.

- (a) Customer survey helps to specifically identify what the customers as class are looking for
- (b) Customer satisfaction can be tested through surveys
- (c) Survey responses really help the management to know what is happening or needs to be done
- (d) All of the above
- (e) None of the above

Correct Answer **None of the above**

Answer Explanation It is customary to test customer satisfaction through surveys, which list down a number of elements of the service and ask the user to rate these elements on a scale ranging from Excellent to Poor, identified by words or by numbers. The responses do not really help the management to know what is happening or what needs to be done.

Of the multiple elements that constitute a service, it is difficult for any survey to identify that which the customers, as a class, are looking for.



Question18

The activities which lead to production of goods that are sold in the market are:

1. Activity in tertiary sector
2. Economic activity in primary sector
3. Economic activity in secondary sector

- (a) Only 2
- (b) 1 and 2
- (c) 2 and 3
- (d) 1 and 3
- (e) 1 2 and 3

Correct Answer 2 and 3

Answer Explanation Economic activities in the primary and secondary sectors lead to the production of 'Goods' that are sold in the market.

Question19

Identify from the following, the core product of tourism.

- (a) Place of destination
- (b) Access to the location
- (c) Facilities at the location
- (d) Climate at the location
- (e) All of the above

Correct Answer All of the above

Answer Explanation A product in tourism is the place of destination. The experience while proceeding to and staying in that destination is equally important for a tourist.



Question20

What is the role of Lok Adalats in insurance business?

- (a) Facilitate disposal of long disputes regarding claims
- (b) Review and monitor long pending claims with insurers
- (c) Set guidelines for settling insurance claims
- (d) Provide legal assistance to insurance claimants
- (e) All of the above

Correct Answer Facilitate disposal of long disputes regarding claims

Answer Explanation Lok Adalats which consists of judges, enable expeditious summary disposal of long pending disputes regarding claims.



Question21

Identify the correct option with the respect to the term 'Chatbot'●.

1. Chatbots do not replace any functions handled by human beings
2. Chatbots are created using artificial intelligence
3. Chatbots are instant messaging tools which can interact with internal and external customers

- (a) Only 1
- (b) Only 2
- (c) 1 and 2
- (d) 2 and 3
- (e) 1, 2 and 3

Correct Answer 1, 2 and 3

Answer Explanation There is important development in the use of artificial intelligence in robots. 'Chatbot' is the word for robots with whom you can chat. Chatbots are already in use in some organisations with which employees can chat to schedule time off, check their schedules and do a variety of other tasks that used to require making a phone call, sending an e-mail or talking to a fellow human.

Chatbots have so far not lived up to their potential, but it is a technology that will get better.



- Question22** An insurance ombudsman can entertain upto _____ as the maximum limit for the amount under dispute.
- (a) Rs 50 lacs
 - (b) Rs 20 lacs
 - (c) Any amount
 - (d) Rs 25 lacs
 - (e) Rs 10 lacs

Correct Answer Rs 20 lacs

Answer Explanation For the insurance industry, the Government had framed Rules under the Insurance Act, 1938, whereby Ombudsmen can be appointed to receive complaints from policyholders relating to the settlement of claims, of the value of Rs. 20 lakhs or less.

- Question23** Select the correct option by analysing the following statements with respect to the term 'commoditisation'.
1. Brand has no relevance in the business of commodity
 2. In commoditisation, product remains the same irrespective of the manufacturer
 3. When commoditised, the product can be sold by anybody to anybody who asked for it
- (a) Only statement 3
 - (b) Only statements 1 and 3
 - (c) Only statements 1 and 2
 - (d) Only statements 2 and 3
 - (e) All of the above

Correct Answer All of the above

Answer Explanation The opposite of customisation is commoditisation. A commodity is a standard product, which is not differentiated by the manufacturer of the product. When commoditised, the product can be sold by anybody, across the shelf, to anybody who asks for it.



Question24

Identify from the following, the correct statement related to market research of goods and market research on services.

- (a) It is challenging to get objective data, for market research on services
- (b) Techniques used for market research of goods and services are surveys, questionnaires, interviews, observations etc.
- (c) Services are intangible which makes the market research difficult to measure and articulate precisely
- (d) All of the above
- (e) Only option b and c

Correct Answer All of the above

Answer Explanation A variety of techniques, like surveys, questionnaires, interviews, observations etc., have been developed to do market research in relation to goods. There are limitations in using these in the case of services, mainly because services are intangible, difficult to measure or sample and even difficult to articulate precisely.

A Market research, in relation to services, is like trying to get objective data about preferences.



Question25

Choose the correct option from the following, which is perceived as a threat to insurance industry in a booming economy.

- (a) Unethical competition
- (b) High chances of fraud
- (c) Reduction in need for insurance
- (d) Lack of professional distribution network
- (e) Surplus funds of individuals are attracted towards dynamic financial market

Correct Answer

Surplus funds of individuals are attracted towards dynamic financial market

Answer Explanation

A booming economy is an opportunity for insurance, both life and non-life. At the same time, a dynamic financial market is likely to attract much of the surplus funds of individuals and become a threat to insurance.

Question26

Out of the following relations, identify the one which do not meet the definition of a customer.

- (a) Son availing services of his father for education
- (b) Individual availing services from a government department
- (c) Employee of an organization availing services of HR function
- (d) Options a and c
- (e) Options a, b and c

Correct Answer

Options a, b and c

Answer Explanation

A customer is an individual or business that purchases another company's goods or services.



Question27

Choose correct option from the following statements with respect to characteristics of perishability of goods and services.

- (a) Service products do not perish
- (b) Goods can be stocked and hence perishability does not affect stability of operations as much as in case of service.
- (c) Fluctuations in demand affects goods much more than services due to nature of their perishability
- (d) Option (b) and (c) are correct
- (e) None of the above

Correct Answer

Goods can be stocked and hence perishability does not affect stability of operations as much as in case of service.

Answer Explanation

A service perishes if it is not used. Goods which are manufactured also perish if they are not used. The difference is that goods can remain stored for some time till they are consumed.

In the case of services, they cannot be stored. Services are affected by fluctuations in demand much more severely than goods.



Question28

Study the following options and select the correct one with respect to the given statement: 'Traditionally, insurance sales is relationship based and it is important for an insurance agent to remain in touch with the customer even after the sales is over'

1. Helps in cross selling
2. Helps to avoid dissonance
3. To reassure the customer that the purchase is not a mistake even if the product sold is not as per expectation of the customer

- (a) Only 1
- (b) Only 1 and 2
- (c) Only 2 and 3
- (d) 1,2 and 3
- (e) None of the above

Correct Answer 1,2 and 3

Answer Explanation Relationship marketing requires that the provider keeps in touch with the customer even after the sale is over. There is a phenomenon called Cognitive Dissonance, which occurs because of doubts that arise, after the purchase, about the correctness of the purchase decision.

If the experience after purchase is not exactly as anticipated, the dissonance will be enhanced. In the case of insurance, where most of the purchases are usually with some hesitation, it is very necessary that the agent who made the sale, be in touch, after the sale is over, to convey reassurance that the purchase was not a mistake.



Question29

The people skills needed in the policy servicing department of an insurance company are :

- (a) Having empowerment to handle exceptional policyholders requests
- (b) Being sensitive to policyholder queries
- (c) Responding the policy holder queries with speed
- (d) Having adequate knowledge to resolve the policy holder queries
- (e) All of the above

Correct Answer All of the above

Answer Explanation

Question30

In the scenario, where human life is considered as an income generating asset, what is the possibility of the asset getting non-functional?

- (a) Unemployment
- (b) Through sickness
- (c) Through disability cause by accident
- (d) Through sickness or disability caused by accident
- (e) None, human life as an asset can never be lost

Correct Answer Through sickness or disability caused by accident

Answer Explanation A human life is an income generating asset. This asset also can be lost through unexpected early death or made non-functional through sickness and disabilities caused by accidents.



- Question31** Identify the driving factors for promotion of E-commerce in Insurance.
- (a) Improve customer awareness
 - (b) Increase insurance penetration
 - (c) Lower cost of transacting Insurance business
 - (d) All of the above
 - (e) Option b and c

Correct Answer All of the above

Answer Explanation

- Question32** Identify the additional P's which were added to original 4p's, with regards to marketing of services.
- (a) Profile, Process and Physical factors
 - (b) People, Process and Patience
 - (c) People, Process and Physical factors
 - (d) People, Process and Procurement
 - (e) People, Procurement and Physical factors

Correct Answer People, Process and Physical factors

Answer Explanation Three further 'P's have been added to the original four. These additions had been found necessary in the context of the marketing of services, which have different characteristics from the marketing of goods.

These three 'P's are People, Process and Physical factors. Insurance is a service business. Therefore, all the 7 'P's would apply to Insurance.



Question33

As per the regulations of IRDAI, what is the limit of number of insurance companies that can be represented by a composite corporate agent?

- (a) 3 insurance companies (one life, one non-life and one standalone health each)
- (b) 6 insurance companies (two life, two non-life and two standalone health each)
- (c) 9 insurance companies (three life, three nonlife and three standalone health each)
- (d) 15 insurance companies (five life, 5 nonlife and 5 standalone health each)
- (e) No limit

Correct Answer 9 insurance companies (three life, three nonlife and three standalone health each)

Answer Explanation Corporate agents are entities such as banks that solicit insurance policies for insurers. In its regulations on corporate agents, Irdai has allowed corporate agents to sell policies of up to three insurance companies in the same line of business. As composite corporate agents, banks under open architecture can sell policies of up to three life insurers, three non-life insurers and three health insurers too.

Question34

Which of following items are bought more frequently and are relatively lower priced?

- (a) Services
- (b) Industrial goods
- (c) Consumer durables
- (d) Consumer non-durables
- (e) Consumer durables and non-durables

Correct Answer Consumer non-durables

Answer Explanation Products are divided into three main categories, consumer goods (durables and non-durables), industrial goods and services. Consumer durables are long lasting and relatively costly, items. Non-durables are items which are bought more frequently and are relatively lower priced.



Question35

Identify the correct statements with respect to the promotional activity referred as Publicity.

1. Publicity is usually impersonal and appears as if it is emanated from sources other than the marketer
2. Publicity is communication which is generally not paid for
3. Publicity is generally more credible than advertisements

- (a) Only 1
- (b) Only 2 and 3
- (c) Only 1 and 2
- (d) Only 1 and 3
- (e) 1, 2 and 3

Correct Answer 1, 2 and 3

Answer Explanation *Publicity* is communication which is not paid for, usually impersonal, appearing to emanate from sources other than the marketer. Publicity happens when media, on subtle persuasion or otherwise, carries an article or news item about the marketer or his products.

It is more credible than advertisements, because it is seen as originating from the medium itself, as a news item or report.



Question36

Which of the following options refers in the context of international marketing to a country-tailored product strategy which focuses on cross-border in the needs and wants of target customers, appropriately changing products in order for them to match local market conditions?

- (a) Globalisation
- (b) Globalisation
- (c) Localisation
- (d) Customisation
- (e) Randomisation

Correct Answer Customisation

Answer Explanation Wherever possible, the 'core' offer could be the bare minimum service, uniformly valued by customers in a given segment at the lowest price, with 'wrap on' supplements or options, which may be chosen by individuals who need them, at a price.

This is customisation, popularly known as 'tailormade'. Such customisations already exist in many services like, beauty parlours, tailors, restaurants, hospitals, consultants and transportation.



Question37

Identify from the following, the factor which can hinder the growth of a new insurance company.

- (a) High volume of business
- (b) Lower average costs compared to existing companies
- (c) Specialised products of different segments of customers
- (d) High initial capital costs to carry out business
- (e) Application of Insurance License with Regulator to carry out Insurance business

Correct Answer High initial capital costs to carry out business

Answer Explanation *Initial Capital Requirements is one of the barriers to entry in the market. This will vary according to the type of business. In many services, initial capital costs are low. In insurance, these are high.*

Question38

Identify the correct statement from the following, with respect to the term 'Price elasticity'.

- (a) Demand of the product is determined by the price elasticity of the product
- (b) Price elasticity is considered high when demand is high
- (c) The product is said to be elastic if change in price results in a large change in quantity demanded
- (d) All of the above
- (e) None of the above

Correct Answer The product is said to be elastic if change in price results in a large change in quantity demanded

Answer Explanation In the matter of goods and also in many services, Price is the resultant of demand and supply. Price can be used to influence the demand. When price is lowered, demand and sales go up. If the quantity demanded of a product changes greatly in response to changes in its price, it is termed "elastic."



Question39

Which of the following statement is the best explanation of the term 'carbon footprint'•?

- (a) Determination of age of a plant or organic remains based on its carbon content
- (b) Emission of carbon dioxide by an organization or an individual
- (c) Amount of releasable carbon present in an organic product while it is processed
- (d) Volume of all types of waste generally by an individual or an organization
- (e) None of the above

Correct Answer

Emission of carbon dioxide by an organization or an individual

Answer Explanation

A carbon footprint is the total amount of greenhouse gases (including carbon dioxide and methane) that are generated by our actions. Corporates account for most of the carbon footprint of the world.

Question40

Economic activities in the _____ sectors lead to production of goods.

- (a) Tertiary
- (b) Quaternary
- (c) Secondary
- (d) All of the above
- (e) Options a and c

Correct Answer

Secondary

Answer Explanation

Economic activities in the primary and secondary sectors lead to the production of 'Goods' that are sold in the market. The outputs in the other three sectors are different. They are referred to as 'Services'.



- Question41 The movement of consumerism started in _____.
- (a) UK
 - (b) USA
 - (c) India
 - (d) Germany
 - (e) Australia

Correct Answer **USA**

Answer Explanation Consumerism, as a movement started in the USA in the 1950s.

- Question42 Which of the following will be in the Secondary sector?
- (a) Textile Mill
 - (b) Money Lender
 - (c) Car dealer
 - (d) Architect
 - (e) None of the above

Correct Answer **Textile Mill**

Answer Explanation The Secondary sector, which includes conversion of outputs from the primary sector into something else.
Construction, manufacturing, engineering, power generation and factories are included in this sector.



Question43

Which of the following is a 'facilitating' service?

- (a) Motor insurance
- (b) Fire insurance
- (c) Transit insurance
- (d) Loss of Profit insurance
- (e) None of the above

Correct Answer Transit insurance

Answer Explanation Services that facilitate availability of tangible products (retailing, credit cards, financing, warehousing, mail order, transport) are facilitating services.

Question44

By taking an insurance cover, one can expect that

- (a) the assets insured are never lost
- (b) damages to insured assets through accidents can be recovered in full
- (c) damages to insured assets through accidents can be recovered to some extent
- (d) If insured assets are damaged through accidents, original costs can be recovered
- (e) the assets insured are fully recoverable

Correct Answer damages to insured assets through accidents can be recovered to some extent

Answer Explanation Insurance does not prevent the loss. It only compensates. The compensation cannot exceed what the value of the asset was in the first place.



Question45

Identify the correct statement from the following.

- (a) Values are taught in schools.
- (b) Values are learnt without being taught
- (c) Everybody has the same set of values.
- (d) A person who does wrong has no values.
- (e) None of the above

Correct Answer Values are learnt without being taught

Answer Explanation Standards of rights and wrongs are called values. They vary between persons. They are not taught.

Question46

Which of the following is NOT a peril?

- (a) Burglary in a godown
- (b) Fire caused by a shortcircuit
- (c) Death In an accident
- (d) Drought caused by failure of monsoon
- (e) None of the above

Correct Answer Death In an accident

Answer Explanation Assets are insured, because they are likely to be destroyed or made nonfunctional, through an accidental occurrence. Such possible occurrences are called Perils. In other words, peril is a potential event or factor that can cause a loss, such as the possibility of a fire that could engulf a house.

In the above example, Death in an accident is not a peril because accident is the peril and Death is a consequence.



Question47

In the Boston Matrix, which of the following is appropriate strategy for a Cash Cow?

- (a) Build
- (b) Divest
- (c) Harvest
- (d) Hold
- (e) None of the above

Correct Answer Harvest

Answer Explanation The Boston Consulting group's product portfolio matrix (BCG matrix) is designed to help with long-term strategic planning, to help a business consider growth opportunities by reviewing its portfolio of products to decide where to invest, to discontinue or develop products.

A cash cow is one of the four categories (quadrants) in the growth-share, Boston Matrix. Cash cow refers to a product that makes a profit in a mature market and does not need heavy reinvestment. It is unlikely that sales will increase even if the company invests further in the product.

Companies use a harvesting strategy when a product has reached the cash cow stage. A harvest strategy involves reducing spending on an established product in order to maximize profits. Typically, harvest strategies are used on outdated products as profits are reinvested in newer models or newer technologies.



Question48

Which of the following is correct?

- (a) Reinsurance is done only for life insurance
- (b) Reinsurance is done only for big risks
- (c) Reinsurance is done only for Marine insurance
- (d) Reinsurance is done only for Aviation insurance
- (e) None of the above

Correct Answer Reinsurance is done only for big risks

Answer Explanation The insurance company, which accepts the insurance, reinsures the risk with other companies around the world. This is made possible through what is known as Reinsurance, whereby the insurance company reduces its risk by sharing the risk with other insurers. Reinsurance makes the business of insurance international.

Question49

Which of the following statements is correct one?

- (a) Micro insurance can be sold to big landlords.
- (b) Micro insurance can be sold by any agent visiting a village.
- (c) Micro insurance can be sold only by specially authorised persons.
- (d) All of the above
- (e) None of the above

Correct Answer Micro insurance can be sold only by specially authorised persons.

Answer Explanation Micro insurance can be sold only through specially licensed micro insurance agents, who have to undergo training at the time of initial appointment and every three years thereafter.



Question50

Which of the following would you prefer to use for communicating to the villagers?

- (a) Hoardings near the market place
- (b) A publicity van with films visiting every village
- (c) Advertisement in the TV programme meant for villages
- (d) Pamphlets for free distribution in the villages
- (e) None of the above

Correct Answer A publicity van with films visiting every village

Answer Explanation One of the effective promotional media for the rural markets is specially prepared films, to be shown through publicity vans.



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ALL THE BEST FOR YOUR EXAMS!